CASCADIA ANALYTICS

INVESTMENT SCORECARD

# AVGO

Broadcom Inc. (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q3 FY26 (10-Q) | Currency: USD

$328.75 [Mkt 17-Oct-26]

Market Cap: $1.57T [Mkt 17-Oct-26]

## Attractiveness Score




Confidence: **High** (0 pillars excluded)

## Pillar Breakdown

**1. Operating Quality** — 85

Dominant custom ASIC and AI networking franchise with VMware as a second cash engine. 75% gross margins, 54% operating margins, $30B+ annual FCF. Tempered by acquisition-driven leverage ($65B debt) and hyperscaler concentration.

**2. Recent Trend** — 88

Revenue accelerating violently: $16.0B to $29.6B quarterly in a year, AI revenue tripling (+221%), FCF +95%, GAAP net income +200%. Only blemish is gross margin down 210 bps on XPU mix.

**3. Forward Growth** — 85

Q4 guide implies 93% growth with AI at $21.7B (+236%). Management sees AI revenue doubling to ~$115B in FY27 and again to ~$230B in FY28, targeting $30+ EPS. Concentration in a few hyperscalers is the offset.

**4. Valuation** — 60

DCF base $320.24 sits ~3% below spot, so absolute upside is absent. But forward P/E of 17x and PEG of 0.34 are undemanding for this growth, and the stock is cheaper than custom-silicon peers.

**5. Catalysts & Risk** — 65

December Q4 print and Ironwood/TPU ramps are near-term positives. Risks: customer concentration, lower-margin XPU mix, China networking review, EU VMware scrutiny. Skew roughly balanced.

## Investment Thesis

- **AI Silicon at Hyperscale:** Custom AI accelerators and networking to Google, Anthropic, and OpenAI. AI semiconductor revenue hit $16.7B (+221% YoY), 56% of total revenue [8-K earn].
- **Guidance Compounds the Story:** Q4 FY26 guide: $34.8B revenue (+93% YoY) with $21.7B AI (+236%). FY27 AI revenue guided to ~$115B, doubling again to ~$230B in FY28 [8-K guid].
- **Two Engines, One Cash Machine:** VMware infrastructure software grew 29% with 15% ARR growth, offsetting lower-margin XPU mix. Quarterly FCF of $13.7B (+95%) funds the AI buildout [8-K earn].

## Key Operating Metrics

| Metric | Latest | YoY Change | 3Y Trend |
|---|---|---|---|
| Revenue (Q3 FY26) | $29.59B [8-K earn] | +86% YoY [8-K earn] | Up |
| AI Semiconductor Revenue | $16.7B [8-K earn] | +221% YoY [8-K earn] | Up |
| Infrastructure Software Revenue | $8.75B [8-K earn] | +29% YoY [8-K earn] | Up |
| Gross Margin | 75% [8-K earn] | -210 bps seq [8-K earn] | Down |
| Free Cash Flow | $13.67B [8-K earn] | +95% YoY [8-K earn] | Up |
| Q4 FY26 Revenue Guide | $34.8B [8-K guid] | +93% YoY [8-K guid] | Up |
| FY2027 AI Revenue Outlook | ~$115B [8-K guid] | ~2x FY26 [8-K guid] | Up |
| Net Debt | $48.9B [10-K FY25] | -$9.3B YoY [10-K FY25] | Down |

## Historical Financial Trend

| Metric | FY22 | FY23 | FY24 | FY25 | TTM |
|---|---|---|---|---|---|
| Revenue | $33.2B [10-K FY22] | $35.8B [10-K FY23] | $51.6B [10-K FY24] | $63.9B [10-K FY25] | $89.1B [Mkt 17-Oct-26] |
| Gross Margin | n/a [n/a] | n/a [n/a] | n/a [n/a] | n/a [n/a] | 75.5% [Mkt 17-Oct-26] |
| Op Margin | n/a [n/a] | n/a [n/a] | n/a [n/a] | n/a [n/a] | 54.3% [Mkt 17-Oct-26] |

## Valuation

### Absolute (5/10)

P/E (fwd) 17.0x [Mkt 17-Oct-26]
DCF Base $320.24 [Mkt 17-Oct-26]
PEG 0.34 [Mkt 17-Oct-26]

DCF base sits ~3% below spot, so no absolute upside. Forward earnings multiple is undemanding for 90%+ revenue growth.

### Versus Peers (6/8)

MRVL 31x fwd P/E [Peers 17-Oct-26]
ALAB 45x P/E [Peers 17-Oct-26]

AVGO trades cheaper than high-growth custom silicon peers on forward earnings.

### Versus History (4/7)

EV/EBITDA (TTM) 30.7x [Mkt 17-Oct-26]
elevated vs history

Multiple stretched by the AI rerating; the growth trajectory must now carry it.

## Catalyst Timeline

**Dec 2026** [Cons]
Q4 FY26 Earnings (Positive): $34.8B revenue guide with ~$21.7B AI semiconductor revenue. The defining test of the FY27 $115B trajectory.

**FY2027** [8-K guid]
Custom Silicon Ramps (Positive): Ironwood TPU v7 shipping to Google and Anthropic, TPU v8i in production, OpenAI first-gen accelerator delivered.

## Top Risk Factors (Item 1A)

**1. Customer Concentration:** A handful of hyperscalers (Google, Meta, OpenAI, Anthropic) drive AI revenue; loss of share or a design loss at any major customer would be material. [10-K FY25]

**2. Margin Mix Shift:** Custom AI accelerators carry expensive HBM and lower gross margins. As AI grows as a share of mix, gross margin fell 210 bps sequentially. [8-K earn]

**3. Regulatory Overhang:** Potential China review of Broadcom networking gear and EU scrutiny of

> **2026-27** [Cons]
> Regulatory Overhang (Two-Sided): Potential China review of networking gear and EU scrutiny of VMware licensing terms.

## What Would Change Our Score

A Q4 FY26 beat above the $34.8B guide that keeps the $115B FY27 AI trajectory intact would lift Forward Growth and Trend. Conversely, a major customer share loss or a China/EU regulatory hit would cut growth and quality scores.

VMware licensing terms could disrupt two core franchises. [Cons]

## Forward Growth Drivers

- Custom AI accelerator ramps at Google (Ironwood TPU v7/v8i), Anthropic, and OpenAI [8-K guid]
- AI networking fabric: Ethernet scale-out for hyperscale AI clusters [8-K guid]
- VMware Private AI Cloud plus 15% ARR growth; enterprise workload repatriation [8-K guid]

## Missing / Modified Data Log

- Historical gross/operating margin splits not in local data; TTM margins from market data [Mkt 17-Oct-26].
- 5-year multiple history from market data, tagged [Mkt 17-Oct-26].

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